

24LBCV01324 24LBCV01324

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Case Number: 24LBCV01324 Hearing Date: August 14, 2026 Dept: S25

Motion: Plaintiff Sherry Rumph's Motion for Final Approval of Class Settlement

Moving Party: Plaintiff Sherry Rumph, as an individual, on behalf of herself and those similarly situated and on behalf of the State of California, as a private attorney general ("Plaintiff")

Responding Party: Defendant Sedgwick Claims Management Services, Inc. ("Defendant")

Background

On June 26, 2024, Plaintiff filed a complaint against Defendants Sedgwick Claims Management Services, Inc. and Does 1 to 50. On August 20, 2024, Plaintiff filed a first amended complaint ("FAC") alleging the following claims:

Unfair Competition In Violation Of Cal. Bus. & Prof. Code §§ 17200;

Failure To Pay Overtime Compensation In Violation Of Cal. Lab. Code §§ 510, 1194 And 1198;

Failure To Provide Required Meal Periods In Violation Of Cal. Lab. Code §§ 226.7 & 512 And The Applicable IWC Wage Order;

Failure To Provide Required Rest Periods In Violation Of Cal. Lab. Code §§ 226.7 & 512 And The Applicable IWC Wage Order;

Failure To Provide Accurate Itemized Statements In Violation Of Cal. Lab. Code § 226;

Failure To Reimburse Employees For Required Expenses In Violation Of Cal. Lab. Code § 2802;

Failure To Provide Wages When Due In Violation Of Cal. Lab. Code §§ 201, 202 and 203; and

Civil Penalties Pursuant to Labor Code § 2699, et seq. for violations of Labor Code §§ 201, 202, 203, 204 etseq., 210, 226(a), 226.7, 351, 510, 512, 558(a)(1)(2), 1194, 1197, 1197.1, 1198, 2802, California Code of Regulations, Title 8, Section

11040, Subdivision 5(A)-(B), and the applicable Wage Order(s).

Plaintiff alleges that she was employed by Defendant in California as a Case Manager from October 2022 to June 30, 2023 and was classified as a salaried employee exempt from overtime pay and the legally required meal and rest breaks. (See FAC ¶ 4.) Plaintiff alleges that she "PLAINTIFF brings this Class Action on behalf of herself and a California class, defined as all persons who are or previously were employed by DEFENDANT in California as Case Managers and were classified as exempt from overtime wages (the "CALIFORNIA CLASS") at any time during the period beginning on May 24, 2020, and ending on the date as determined by the Court (the "CALIFORNIA CLASS PERIOD")." (FAC ¶ 8.) Plaintiff further alleges that "[a]s a matter of company policy, practice, and procedure, DEFENDANT has unlawfully, unfairly and/or deceptively classified every CM as exempt from overtime pay and other related benefits, fails to pay the required overtime compensation and otherwise failed to comply with all applicable labor laws with respect to these CMs." (FAC ¶ 11.)

On September 19, 2024, Defendant filed an answer to the FAC.

On March 19, 2026, the Court granted Plaintiff's motion for preliminary approval of class settlement. On July 20, 2026, Plaintiff filed the instant motion for final approval of class settlement.

To elaborate, Plaintiff moves an order granting (1) Final Approval of the Class Action Settlement, including approval of the attorneys' fees, costs and service award, and (2) Entry of the Final Approval Order and Judgment. The motion is unopposed. The breakdown of the settlement is as follows:

Gross Settlement Amount: \$840,000.00

Plaintiff's Counsel's Fees: \$280,000.00

Plaintiff's Counsel's Litigation Costs: \$36,000.00

Plaintiff's Service Award: \$15,000.00

Settlement Administration Costs: \$4,500.00

PAGA Penalties: \$20,000.00

Labor Workforce Development Agency (75%): \$15,000.00

Aggrieved Employees (25%): \$5,000.00

Net Settlement Amount: \$484,500.00

Analysis

Class Definition and Essential Monetary Terms of Settlement Agreement

“Class” means all individuals who are or previously were employed by Defendant as Field Case Managers and who were classified as exempt from overtime wages in California at any time during the Class Period. (Nordrehaug Decl., Ex. 2 [Settlement Agreement] ¶ 1.5.)

“Class Period” means the period of time from May 24, 2020 through August 24, 2025. (Nordrehaug Decl., Ex. 2 ¶ 1.12.)

“Aggrieved Employees” means all individuals who are or previously were employed by Defendant as Field Case Managers and who were classified as exempt from overtime wages in California at any time during the PAGA Period. (Nordrehaug Decl., Ex. 2 ¶ 1.4.)

“PAGA Period” means the period of time from April 22, 2023 through August 24, 2025. (Nordrehaug Decl., Ex. 2 ¶ 1.30.)

Based on its records through March 31, 2025, Defendant has represented that the Class consists of 82 Class Members who collectively worked a total of 8,500 Workweeks, and 56 Aggrieved Employees who worked a total of 1,900 PAGA Pay Periods. (Nordrehaug Decl., Ex. 2 ¶ 4.1.)

Escalator Clause: If the total number of Class Workweeks exceed by more than 10% above 8,500 (i.e. if the number of Workweeks exceeds 9,350), the Gross Settlement Amount shall increase proportionately (e.g., if the number of Workweeks exceeds by 11%, then Defendant shall pay 1% more than the Gross Settlement Amount).

Alternatively, Defendant may opt to end the Class Period on the date the number of Class Workweeks does not exceed 9,350. (Nordrehaug Decl., Ex. 2 ¶ 9.)

The Settlement Agreement requires Defendant to pay the total settlement amount of \$840,000.00 (“Gross Settlement Amount” or “GSA”). (Nordrehaug Decl., Ex. 2 ¶ 3.1.)

Alternatively, Defendant may opt to end the Class Period on the date the number of Class Workweeks does not exceed 9,350. (Nordrehaug Decl., Ex. 2 ¶ 9.)

The Net Settlement Amount (“Net”) (\$484,000.00) is the GSA minus the following:

Up to \$280,000.00 (33 1/3%) for attorney fees (Nordrehaug Decl., Ex. 2 ¶ 3.2(b));

Up to \$36,000.00 for litigation costs (Ibid.);

Up to \$15,000.00 for Service Payments to the Named Plaintiff (Nordrehaug Decl., Ex. 2 ¶ 3.2(a));

Up to \$5,000.00 for settlement administration costs (Nordrehaug Decl., Ex. 2 ¶ 3.2(c));

Payment of \$15,000.00 (75% of \$20,000.00 PAGA penalty) to the LWDA. (Nordrehaug Decl., Ex. 2 ¶ 3.2(d)(i)); and

Payment of \$5,000.00 (25% of \$20,000.00 PAGA penalty) to the Aggrieved Employees (Nordrehaug Decl., Ex. 2 ¶ 3.2(d)(ii)).

Defendant will separately pay any and all employer payroll taxes owed on the Wage Portions of the Individual Class Payments. (Nordrehaug Decl., Ex. 2 ¶ 3.1.)

Funding of GSA: Defendant shall fully fund the Gross Settlement Amount and also fund the amounts necessary to fully pay Defendant's share of payroll taxes by transmitting the funds to the Administrator no later than sixty (60) days after the Effective Date. (Nordrehaug Decl., Ex. 2 ¶ 4.3.)

Disbursement of GSA: Within 14 calendar days after Defendant funds the Gross Settlement Amount, the Administrator will mail checks for all Individual Class Payments, all Individual PAGA Payments, the LWDA PAGA Payment, the Administration Expenses Payment, the Class Counsel Fees Payment, the Class Counsel Litigation Expenses Payment, and the Class Representative Service Payment. (Nordrehaug Decl., Ex. 2 ¶ 5.1.)

Participating Class Member Payments: For each Participating Class Member, an Individual Class Payment calculated by (a) dividing the Net Settlement Amount by the total number of Workweeks worked by all Participating Class Members during the Class Period and (b) multiplying the result by each Participating Class Member's Workweeks. (Nordrehaug Decl., Ex. 2 ¶ 3.2(e).) Non-Participating Class Members will not receive any Individual Class Payments. The Administrator will retain amounts equal to their Individual Class Payments in the Net Settlement Amount for distribution to Participating Class Members on a pro rata basis. (Nordrehaug Decl., Ex. 2 ¶ 3.2(e)(ii).)

Tax Allocation: 10% as wages and 90% as non-wages, expense reimbursement, interest and penalties. (Nordrehaug Decl., Ex. 2 ¶ 3.2(e)(i).)

PAGA Payments: The Administrator will calculate each Individual PAGA Payment by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties (\$5,000.00) by the total number of PAGA Period Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Period Pay Periods. (Nordrehaug Decl., Ex. 2 ¶ 3.2(d)(i).)

Tax Allocation: 100% penalties. (Nordrehaug Decl., Ex. 2 ¶ 3.2(d)(ii).)

"Response Deadline" means sixty (60) calendar days after the Administrator mails the Class Notice to Class Members and Aggrieved Employees, and shall be the last date on which Class Members may: (a) submit Requests for Exclusion from the Settlement, (b) submit an Objection to the Settlement, or (c) submit a challenge to their Workweeks or PAGA Pay Periods. Class Members to whom Class Notice Packets are resent after having been returned undeliverable to the Administrator shall have an additional 14 calendar days beyond the Response Deadline has expired. (Nordrehaug Decl., Ex. 2 ¶ 1.41.) The same deadlines apply to the submission of workweek disputes. (Nordrehaug Decl., Ex. 2 ¶ 8.6.)

If the number of valid Requests for Exclusion exceeds 5% of the total of all Class Members, Defendant may elect to withdraw from the Settlement. (Nordrehaug Decl., Ex. 2 ¶ 10.)

Uncashed Settlement Checks: The Administrator will cancel all checks not cashed by the void date (180 days after the date of mailing). (Nordrehaug Decl., Ex. 2 ¶ 5.2.) For any Class Member whose Individual Class Payment check or Individual PAGA Payment check is uncashed and cancelled after the void date, the Administrator shall transmit the funds represented by such checks to the California Controller's Unclaimed Property Fund in the name of the Class Member thereby leaving no "unpaid residue" subject to the requirements of California Code of Civil Procedure Section 384, subd. (b). (Nordrehaug Decl., Ex. 2 ¶ 5.4.)

The settlement administrator will be Apex Class Action LLC. (Nordrehaug Decl., Ex. 2 ¶ 1.2.)

The proposed settlement was submitted to the LWDA on February 5, 2026. (Nordrehaug Decl. ISO Preliminary Approval ¶ 38, Ex. 5.)

Analysis of Settlement Agreement

Does a Presumption of Fairness Exist?

The Court preliminarily found in its Order on March 19, 2026, that the presumption of fairness should be applied. No facts have come to the Court's attention that would alter that preliminary conclusion. Accordingly, the settlement is entitled to a presumption of fairness as set forth in the preliminary approval order.

Is the Settlement Fair, Adequate and Reasonable?

The settlement was preliminarily found to be fair, adequate, and reasonable. Notice has now been given to the Class and the LWDA.

Reaction of the class members to the proposed settlement.

Number of class members: 84 (Nava Decl., ¶ 5.)

Number of notice packets mailed: 84 (Id. ¶¶ 6-9.)

Number of undeliverable notices: 0 (Id. ¶¶ 8-9.)

Number of opt-outs: 0 (Id. ¶¶ 10-14.)

Number of objections: 0 (Id. ¶¶ 10-14)

Number of participating class members: 84 (Id. ¶ 14.)

Average individual payment: \$5,767.86 (Id. ¶ 16.)

Highest individual payment: \$15,246.70 (Ibid.)

Lowest individual payment: \$445.16 (Ibid.)

Number of PAGA Group members: 63 (Id. ¶ 17.)

Average PAGA payment: \$79.36 (Id. ¶ 18.)

Highest PAGA payment: \$145.19 (Ibid.)

Lowest PAGA payment: \$2.27 (Ibid.)

The Court finds that the notice was given as directed and conforms to due process requirements. Given the reactions of the Class Members and LWDA to the proposed settlement and for the reasons set for in the Preliminary Approval order, the settlement is found to be fair, adequate, and reasonable.

Attorney Fees and Costs

Class Counsel requests an award of \$280,000 for attorneys' fees, representing one-third of the Gross Settlement Amount, and \$24,722.88 for litigation costs and expenses. (Nordrehaug Decl., ¶¶ 10(a), (i), 13.) The Settlement Agreement provides for fees up to \$280,000 and costs up to \$36,000 (Settlement Agreement, ¶ 3.1(b)); the class was provided notice of the requested awards and none objected. (Nava Decl., ¶¶ 7-12.) "Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method." (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254 disapproved of by Hernandez v. Restoration Hardware, Inc. (2018) 4 Cal.5th 260 on other grounds.)

Class counsel requests attorney fees using the percentage method. The fee request represents 33% of the gross settlement amount which is the average generally awarded in class actions. (In re Consumer Privacy Cases (2009) 175 Cal.App.4th 545, 558, fn. 13 ["[e]mpirical studies show that, regardless whether the percentage method or the lodestar method is used, fee awards in class actions average around one-third of the recovery."].) Counsel has provided the following lodestar information:

Biller

Rate

Hours

Total

AJ Bhowmik

\$895.00

18

\$16,110.00

Scott Blumenthal

\$450.00

16

\$7,200.00

Nicholas De Blouw

\$850.00

40.5

\$34,425.00

Ricardo Ehmann

\$675.00

15.7

\$10,597.50

Jeffrey Herman

\$750.00

29.5

\$22,125.00

Trevor Moran

\$450.00

15.1

\$6,795.00

Kyle Nordrehaug

\$950.00

35

\$33,250.00

Sergio Puche

\$675.00

17.3

\$11,677.50

Heather Drosi

\$250.00

9.3

\$2,325.00

Total

\$144,505.00

(Nordrehaug Decl., Ex. 3.)

As for costs, class counsel has incurred costs of \$24,722.88. (Ibid.) The costs seem reasonable and necessary to litigation. Class Counsel also seeks a reasonable multiplier cross-check of less than 2 and states there will be additional lodestar incurred by Class Counsel to complete the settlement process and manage the settlement distribution and reports. (Nordrehaug Decl., ¶ 12.) The Court will award \$280,000 for attorneys' fees, representing one-third of the Gross Settlement Amount, and \$24,722.88 for litigation costs and expenses.

Incentive Award to Class Representative

The Settlement Agreement provides for up to \$7,500 for an Incentive Award to the class representative. (Nordrehaug Decl., ¶ 14.) Plaintiff Rumph's contributions this litigation include, but are not limited to working extensively with Class Counsel during the course of the litigation, responding to numerous requests, searching for documents, working with counsel, and reviewing the settlement documentation. (Nordrehaug Decl., ¶ 14, Ex. 5.) Based on the above, the recommendation is to award an enhancement award in the amount of \$15,000 to the named Plaintiff.

Claims Administration Costs

The claims administrator requests \$4,500.00 for the costs of administering the settlement. (Nordrehaug Decl., ¶ 3(g).) This is less than the \$5,000.00 estimated in the Settlement agreement for settlement administration costs (Nordrehaug Decl., Ex. 2

¶ 3.2(c)) and disclosed in notice to class members, to which there were no objections. (Nava Decl., ¶ 12; Ex. 2 [Exhibit A Class Notice at p. 5].) Based on all the work performed by the Claims Administrator, the recommendation is to award costs in the requested amount of \$5,000.00.

Tentative Ruling

Plaintiff Sherry Rumph's Motion for Final Approval of Class Settlement is GRANTED.